

STATE OF NEW YORK

1859--A

Cal. No. 540

2025-2026 Regular Sessions

IN SENATE

January 14, 2025

Introduced by Sen. MYRIE -- read twice and ordered printed, and when printed to be committed to the Committee on Consumer Protection -- recommitted to the Committee on Consumer Protection in accordance with Senate Rule 6, sec. 8 -- reported favorably from said committee, ordered to first and second report, ordered to a third reading, amended and ordered reprinted, retaining its place in the order of third reading

AN ACT to amend the general business law, in relation to requiring issuers of credit cards to give the cardholder at least thirty days notice before closing, cancelling, or terminating the cardholder's account

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. The general business law is amended by adding a new section
2 520-f to read as follows:

3 § 520-f. Issuer cancellation. 1. Notice required. No issuer shall
4 close, cancel, or terminate a holder's account with the issuer for the
5 extension of credit through the use of a credit card without providing
6 the holder written notice via email, text message, or written letter at
7 least thirty days before the effective date of such closure, cancella-
8 tion, or termination.

9 2. Exceptions. The provisions of this section shall not apply if an
10 issuer closes, cancels, or terminates a holder's account with the issuer
11 for the extension of credit through the use of a credit card because of:

12 (a) fraud, misuse, identity theft, or unauthorized use affecting the
13 account;

14 (b) delinquency, default, or other failure by the holder to comply
15 with the terms and conditions governing the account;

16 (c) the holder's bankruptcy, insolvency, receivership, death, legal
17 incapacity, or inability to repay or otherwise perform obligations under
18 the credit card agreement; or

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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1 (d) any federal, state, or local law, regulation, court order, legal
2 process, sanctions requirement, anti-money-laundering obligation, or
3 other governmental directive or restriction requiring or reasonably
4 necessitating such action.

5 § 2. This act shall take effect on the one hundred twentieth day after
6 it shall have become a law.